

**JUSTIFICATION AND APPROVAL FOR
OTHER THAN FULL AND OPEN COMPETITION
10 U.S.C. § 3204(a)(1)**

**Procurement of Various Spare Parts
Solicitation Number: 70Z03826RH0000001**

Pursuant to the requirements of the Competition in Contracting Act (CICA) as implemented by the Federal Acquisition Regulation (FAR) 6.103 (FAR Class Deviation 25-11) and in accordance with the requirements of RFO 6.104, the justification for the use of the statutory authority under RFO 6.103 is justified by the following facts and rationale required under RFO 6.104-1 as follows:

1. Agency and Contracting Activity.

The Department of Homeland Security (DHS), United States Coast Guard (USCG), Aviation Acquisition Logistics Center (ALC), Long Range Surveillance (LRS) Product Line proposes to enter into a contract on a basis other than full and open competition.

2. Nature and/or Description of the Action being Approved.

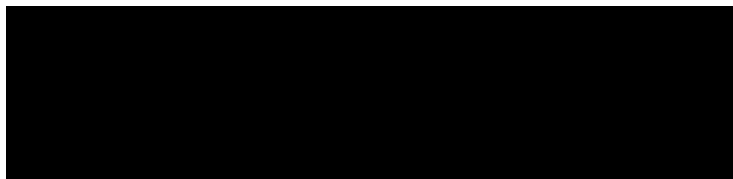
(a) Nature of the action: USCG intends to award a sole source Firm-Fixed Price Contract to the Original Equipment Manufacturer (OEM), Rolls-Royce Corporation (Rolls-Royce), for the procurement of three hundred twenty-six (326) flight-critical spare engine parts to be utilized on the HC-130J engine and aircraft. This acquisition will be conducted on an other than full and open competition basis, as Rolls-Royce is the only manufacturer capable of providing these parts. The requirement will be solicited utilizing FAR Part 12, Acquisition of Commercial Products and Commercial Services, and FAR Part 15, Contracting by Negotiation.

(b) Name and address of the contractor:

Rolls-Royce Corporation
450 South Meridian Street
Indianapolis, IN 46225
Cage Code: 63005

(c) Contract Type: The USCG intends to award a Firm-Fixed Price (FFP) Contract for this requirement.

(d) Estimated total value (including options):



- (e) Type of funding: Procurement, Construction, and Improvement (PC&I)
- (f) Year of funding: Fiscal Year 2026
- (g) Solicitation number: 70Z03826RH0000001
- (h) Background information about the requirement: The previous procurement for similar requirements was executed under purchase order 70Z03825PC0000263, a firm-fixed price purchase order obligated on 9/12/2025. This effort provided various flight critical spare parts in support of HC-130J operations.

3. Description of Supplies/Services.

The HC-130J aircraft is a long range surveillance aircraft used in search and rescue and maritime patrol missions. The procurement of AE2100D3 Engines spare parts is required to support USCG missions and stand-up Air Stations Sacramento and Clearwater.

4. Identification of Statutory Authority Permitting Other Than Full and Open Competition.

The statutory authority permitting other than full and open competition is 10 U.S.C. § 3204(a)(1) implemented by the RFO Subpart 6.103-1 entitled “Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements.”

5. Identification of Exception to the Buy American Statute.

This requirement for the purchase of various Rolls-Royce spare parts does not take exception listed under FAR 25.103(b)(2) or FAR 25.202(a)(2). Therefore, the Buy American Act will be included in the terms and conditions of this contract.

6. Demonstration that the proposed contractor’s unique qualifications or the nature of the acquisition requires use of the authority cited.

Include the following information:

- (a) Rationale for using the authority cited in section 4 of the J&A.
Rolls-Royce is the sole original equipment manufacturer (OEM) for the AE2100D3 engine and its spare parts. The company's proprietary ownership of all manufacturing data, specifications, and tooling prevents the USCG from reverse-engineering the components. Consequently, due to flight safety requirements, there are no alternative sources, distributors, or part numbers that can meet the government's needs.
- (b) Details covering what events lead to the situation requiring use of other than full and open competition procedures including whether any portion of the work can be segregated to allow for competition;

In an attempt to promote competition, extensive market research was conducted. The USCG posted a sources sought notice (70Z03826IH0000002) on 10/16/2025. Two (2) vendors responded to the sources sought notice, Rolls-Royce and One Source Spares. One Source Spares is not an authorized OEM distributor or manufacturer. Rolls-Royce is the OEM of the engine; no portion of the work can be segregated to allow for competition as Rolls-Royce is the only approved manufacturer for all Contract Line Item Numbers (CLINS) and there is no authorized distributor.

- (c) Summarize alternatives considered and why they will not work;
Rolls-Royce does not intend to sell the rights and will not grant access to the data rights or technical specifications. If the Government were to try and use after-market or reverse engineered parts, then it would cause a flight safety risk that the USCG is not willing to take. Because this contract effort has a substantial amount of flight critical spare engine parts, no alternate sources nor alternate parts may be considered. The USCG may only consider certified sources of support of the HC-130J aircraft parts. The OEM has communicated that there are no authorized distributors, and their proprietary technology is not for release of sale.
- (d) Impact to the mission that would result if the J&A is not approved and, consequently, the product or service not provided.
Failure to approve this J&A would cause a lack of parts for Air Stations Sacramento and Clearwater, as well as the entire HC-130J fleet. The lack of parts would cause a severe degradation in the USCG's ability to conduct search and rescue, law enforcement, international ice patrol, marine environmental protection, and marine resource conservation, and various other missions.

7. Description of Efforts Made to Ensure that Offers are Solicited from as Many Potential Sources as is Practicable.

- (a) If an entry was made in APFS, provide the publication date.
This procurement forecast was posted as DHS- Acquisition Planning Forecast System (APFS) No. F2026072321 on 10/28/2025 at <http://apfs.dhs.gov> and was included in the DHS Forecast of Small Business Opportunities.
- (b) If an announcement has already been made in SAM.gov, provide the publication date.
Not Applicable.
- (c) If an announcement is being planned for posting in SAM.gov, provide the estimated publication date.
A redacted copy of this J&A will be posted to the GPE website, SAM.gov with an estimated posting date of 04/24/2026. Any capability statement, proposal, or quotation received in response will be considered prior to award.

- (d) If an announcement will not be published, identify the applicable exception under RFO Part 5.
Not Applicable.

8. Determination by the Contracting Officer that the Anticipated Cost to the Government will be Fair and Reasonable.

The Contracting Officer determines that the anticipated prices will be determined fair and reasonable by conducting a price analysis. This analysis will consist of comparing the proposed prices with both the historical prices paid for similar items, as authorized by FAR 15.404-1(b)(2), and the Independent Government Cost Estimate (IGCE), as referenced in FAR 15.404-1(b)(5).

9. Description of Market Research.

- (a) Describe the market research techniques used, results, date(s) when the market research was conducted, and how the contracting officer used the market research to determine price reasonableness.

Market research was conducted in accordance with FAR Part 10 (FAR Class Deviation 25-06) from October 2024 through November 2025. A Rough Order of Magnitude (ROM) was previously obtained from Rolls-Royce in October 2024 to support early acquisition planning. DHS APFS entry F2026072321 was published; however, the USCG did not receive any responses. A Sources Sought Notice (70Z03826IH0000002) was issued via Contract Opportunities on SAM.gov on 10/16/2025 and closed on 10/23/2025. Two (2) responses were received: Rolls-Royce and Source One Spares. Additional research included a review of the Asset Maintenance Management Information System (AMMIS) database and recent Government purchase history for the same or similar items. Government databases, including the General Services Administration (GSA) and Federal Logistics Information System Web Search (WebFLIS), were reviewed to identify potential sources and historical pricing data. Commercial market research was conducted using the Inventory Locator Service (ILS) to locate alternate vendors and assess commercial availability. Existing DHS-wide and multi-component contract vehicles, including those managed by the DHS Strategic Sourcing Program Office and listed on the DHS Enterprise-wide Contract Vehicle Portal, were reviewed and determined to be out of scope for this requirement.

- (b) If market research was not conducted, state why.

Not applicable, market research was conducted IAW FAR Part 10 from October 2025 - November 2025.

- (c) If patents, copyrights, and/or intellectual property are applicable to the acquisition, describe the circumstances for acquiring a patented or copyrighted product on the representation of the intellectual property holder that has not been licensed for resale and consult with the Coast Guard IP attorney.

Patents, copyrights, and/or intellectual property are not applicable to this acquisition.

10. Any Other Facts Supporting the Use of Other Than Full and Open Competition.

- (a) An explanation why technical data packages, specifications, statement of work, or purchase descriptions are not suitable for full and open competition.
All specifications, drawings, data, test equipment, and tooling required to complete this requirement are proprietary to complete this requirement to Rolls-Royce. Rolls-Royce does not intend to sell the rights and will not grant access to the data rights or technical specifications required to foster a competitive environment and is not suitable for full and open competition.
- (b) Discuss why your requirement cannot be modified to enhance competition.
This requirement cannot be modified to enhance competition because the parts and subsequent technological data are not available from any vendor other than the OEM. Because this contract effort has a substantial amount of AE2100D3 Engine parts that must be compatible with the Rolls-Royce engine as this would pose a flight safety risk. No alternate sources nor alternate parts may be considered. Therefore, this requirement cannot be modified.
- (c) For a proposed contract subject to the restrictions of RFO 6.103-for follow-on acquisitions as described in 6.103-1(c)(2)(i), you must provide an estimate of the cost to the Government that would be duplicated and detailed information on how the estimate was derived.
This action is not a follow-on acquisition as described in RFO 6.103-1(c)(2)(i). Therefore, the requirement to estimate duplicated costs is not applicable
- (d) For a proposed contract subject to the restrictions of RFO 6.103-2(c) or HSAR 3006.103-2(c)(70), HSAR Class Deviation 25-01 and where RFO 6.103-2 is cited as the authority, describe the exceptional circumstances allowing for an award for a period of performance in excess of the one-year limitation (applicable to all federal agencies) or the DHS-specific statutory 150-day limitation.
This justification does not cite RFO 6.103-2 as the authority for this action. Therefore, the limitations on the period of performance under RFO 6.103-2(c) and HSAR 3006.103-2(c)(70) are not applicable.

11. A Listing of the Sources, if Any, that Expressed, in Writing, an Interest in the Acquisition.

A sources sought notice was issued in Contract Opportunities on SAM.gov on 10/16/2025 and closed on 10/23/2025 requesting that parties express their interest in writing to the Contracting Officer. Two (2) vendors responded, Rolls-Royce and One Source Spares.

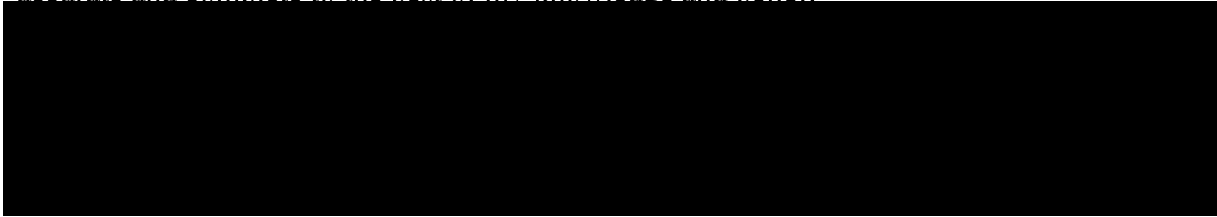
12. A Statement of the Actions, if Any, the Agency May Take to Remove or Overcome Any Barriers to Competition Before Any Subsequent Acquisition for Supplies or Services Required.

- (a) Will the Government revise overly technical specifications, acquire data rights, etc.?
The USCG does not possess the technical data required to foster full and open competition for the parts covered under this justification and approval. The USCG will continuously conduct market research to ensure that companies interested in doing business with the USCG are given every opportunity to compete for future USCG requirements. In an effort to increase competition, HC-130J mission partners conduct internet database research and ensure procurements are advertised in SAM.gov. If another potential source emerges, and the USCG is able to obtain the required technical data, the USCG will assess whether competition for any future requirements is feasible.
- (b) When a J&A is issued for the purposes of acquiring goods or services while a competitive procurement is being conducted, the justification should include a detailed timeline for completion of the competitive procurement. The period of performance for the sole source action should fairly balance the time needed to complete the competitive procurement. The focus should be on minimizing the need for additional sole source awards.

Remainder of Page Intentionally Left Blank

13. Contracting Officer's Certification.

I certify that the data supporting the recommended use of other than full and open competition is accurate and complete to the best of my knowledge and belief.

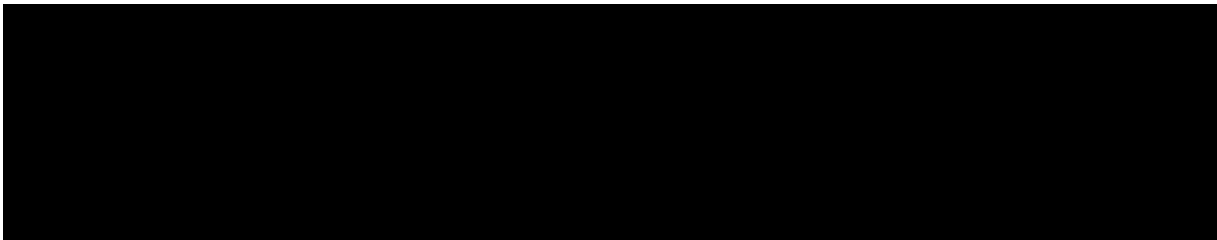


14. Technical/Requirements Personnel Certification.

I certify this requirement meets the Government's minimum need and that the supporting data, which forms a basis for this justification, is complete and accurate.



RECOMMENDED FOR APPROVAL



APPROVAL

